

CALDWELL FAMILY FARM

Specialty Malting Barley | Established 1962 | Mills River, NC | Tel 828-555-9405

September 28, 2026

Larry Bates, Owner / Head Brewer
Bates Brewing Company
412 Stoneridge Mill Road
Asheville, NC 28804

Re: 2026 Back Forty Specialty Barley Harvest, Inspection Report

Larry, the back forty came off the combine September 22 through 25. I walked every field myself on the 26th and ran the sample work the 27th. Numbers below. Short of plan, explainable. We have options for the gap.

Field-by-Field Yield (Bates Reserve Acreage)

Field	Acres	Planned (lb)	Actual (lb)	Variance
Back Forty North	14.0	22,400	20,540	(1,860)
Back Forty South	12.0	19,200	17,210	(1,990)
Ridge Strip	9.5	15,200	13,800	(1,400)
Lower Creek	4.5	7,200	6,850	(350)
TOTAL	40.0	64,000	58,400	(5,600)

Cause of Shortfall

Nine-day drought-stress window late August (August 18 through 26) caught the crop at soft dough through hard dough on the back forty. Ridge Strip and Lower Creek were further along and held up better. Standard mitigation, irrigation lines from the upper pond, was not in reach this year. We discussed it last winter; standing by that decision.

Quality Specifications (Sample Composite, All Four Fields)

Spec	Result	Malting Spec Range	Pass / Fail
Protein content	11.6%	10.5 - 12.5%	Pass
Moisture	13.4%	13.0 - 14.0%	Pass
Plump kernel (sieve)	92.4%	>= 85%	Pass

Thin kernel	2.1%	<= 3%	Pass
Germination (96 hr)	97.5%	>= 95%	Pass
DON (mycotoxin) screen	Not detected	<= 1.0 ppm	Pass

All four checks land cleanly inside malting spec. This is honest barley. The shortfall is volume, not quality.

Replacement Option for the 5,600 lb Gap

Talked with the Henderson family two ridges over on September 24. Same heritage line we have used for the side trials in 2023 and 2024. They can release up to 7,000 lb of their current crop at \$1.02 per pound spot. Same protein band, same germination range. Sample available on request, can drop it at the brewhouse by end of week. Your call, Larry. I am not in the recipe seat.

Financial Summary, Bates Contract

Line	Amount
Contracted volume	64,000 lb
Contract rate	\$0.95 per pound
Contract value (as-signed)	\$60,800
Deposit paid (June 12, 2026)	(\$19,200)
Open balance on contract as-signed	\$41,600
Actual delivered volume	58,400 lb
Short-delivery credit (5,600 lb at \$0.95, applied against next season)	(\$5,320)
Net open balance due on receipt	\$41,600

Note: the contract value was locked at \$60,800 as-signed. The 5,600 lb short-delivery credit of \$5,320 (calculated at the \$0.95 per pound contract rate) will be applied against the 2028 season supply agreement rather than reducing the current receivable, per our long-standing practice. Net open balance due on receipt therefore holds at \$41,600.

Delivery date for the Bates crop holds at October 12, 2026 to the brewhouse loading bay as we agreed. Will leave you a voicemail to talk through the top-up.

Best,

Dave Caldwell

